



May 22, 2026

Soapstone Cluster Association

Investment Policy Statement (IPS) – Reserve Funds

1. Purpose

The purpose of this **Investment Policy Statement (“IPS”)** is to establish prudent guidelines for the investment and management of the **Soapstone Cluster Association’s (“Association”)** capital reserve funds. The objectives are to preserve principal, ensure sufficient liquidity to meet anticipated and unexpected capital expenditures, and obtain a reasonable rate of return consistent with these priorities.

2. Fiduciary Standard

The Board of Directors shall manage reserve funds in accordance with its fiduciary duties under Virginia law, acting in good faith, with the care an ordinarily prudent person would exercise, and in the best interests of the Association.

3. Investment Objectives

The Association’s investment objectives, in order of priority, are:

1. **Safety of Principal** – Preservation of capital is the highest priority. Investments shall be selected such that principal is expected to be returned at maturity.
2. **Liquidity** – Funds must be available to meet planned and unexpected capital expenditures.
3. **Yield** – Earn a reasonable return consistent with safety and liquidity objectives.

4. Investment Philosophy

The Association is risk-averse with respect to reserve funds and will not invest in instruments that expose the principal balance to market risk or volatility. The Board may accept lower returns in exchange for higher certainty of principal preservation.

5. Authorized Investments

Reserve funds may be invested only in the following:

- FDIC- or NCUA-insured:
 - Money Market Accounts
 - Savings Accounts
 - Certificates of Deposit (including laddered CDs)
- U.S. Treasury securities (Bills, Notes, Bonds)
- U.S. Government Agency securities
- U.S. Treasury or Government-backed money market funds
- Municipal bonds, provided that:
 - They are rated **A or better** by a nationally recognized rating agency (e.g., S&P, Moody’s, Fitch), and
 - Principal and interest are reasonably expected to be preserved if held to maturity

All investments shall be selected with the expectation that **principal will be preserved if held to maturity**.

6. Prohibited Investments

The following are prohibited:

- Stocks or equity funds
- Corporate bonds or high-risk debt instruments
- Mutual funds not limited to U.S. government securities
- Derivatives, options, or leveraged investments
- Any investment that may result in loss of principal due to market fluctuations

7. Investment Strategy

The Association shall utilize a **laddered investment approach**, structuring maturities to align with anticipated reserve expenditures identified in the reserve study.

For planning purposes, reserve funds may be managed according to the following general time horizons:

Near-Term Funds (0–3 years)

- Maintained in highly liquid, capital-preservation accounts (e.g., money market accounts, U.S. Treasury or government-backed money market funds, short-term CDs)
- Intended to cover known and immediate capital expenditures
- May include an additional contingency reserve or set-aside for unanticipated capital repairs, emergency conditions, accelerated asset deterioration, or other unforeseen capital needs

Mid-Term Funds (4–7 years)

- Invested in a mix of CDs, U.S. Treasuries, or other approved fixed-income instruments
- Maturities structured to align with projected reserve expenses

Long-Term Funds (8–10+ years)

- May be invested in longer-duration fixed-income instruments, including U.S. Treasuries, agency securities, or highly rated municipal bonds
- Structured to enhance yield while maintaining principal preservation at maturity

Investments shall be staggered across these timeframes to:

- Ensure funds are available when needed
- Reduce reinvestment risk
- Take advantage of varying interest rate environments
- Maintain contingency liquidity for unforeseen capital needs

8. Liquidity Management

The Board shall ensure that sufficient liquid funds are maintained to meet projected capital expenditures over at least the next 12–24 months, including an appropriate contingency reserve or set-aside for unanticipated capital repairs, accelerated asset deterioration, emergency conditions, or other unforeseen capital needs.

Reserve investments shall be aligned with:

- The most recent reserve study
- The approved annual budget
- Known or anticipated capital projects
- An appropriate contingency reserve for unanticipated capital expenditures

9. Monitoring and Underperformance Plan

The Board acknowledges that investment returns may vary and may not fully offset inflation or future reserve funding needs.

To address this, the Board shall:

- Review reserve fund performance at least quarterly
- Compare actual reserve balances to reserve study projections
- Adjust funding strategies as needed, which may include:
 - Increasing reserve contributions
 - Adjusting future budgets
 - Implementing a special assessment, if necessary, appropriate, and consistent with the Association's governing documents
 - Revising investment maturities or structure
- Document decisions to ensure transparency and continuity

10. Benchmarking and Industry Review

The Board may periodically:

- Consult with other homeowners associations regarding reserve investment practices
- Review guidance from Community Associations Institute (CAI) and similar organizations
- Evaluate whether updates to this policy are warranted based on industry standards

11. Use of Financial Institutions and Advisors

The Board may:

- Utilize banks, brokerage firms, or investment platforms to manage reserve funds
- Engage a qualified financial advisor or investment professional
- Choose between:
 - Non-discretionary advisory services (Board retains decision-making authority), or
 - Other structures as deemed appropriate by the Board

All investment decisions shall remain subject to Board oversight and approval.

12. Controls and Safeguards

- All reserve funds shall be held in the name of the Association
- Reserve funds shall be maintained separately from operating funds
- Transfers or withdrawals from reserve accounts shall require authorization consistent with the Association's governing documents and applicable banking or internal control procedures
- The Board shall review account statements regularly, but at least quarterly
- All purchases, sales, or changes to reserve investments shall be reported to the Board at its next regularly scheduled meeting

13. Review and Amendment

This IPS shall be reviewed by the Board at least every three (3) years, or sooner if financial conditions or reserve requirements change.